accounting system takes accounting transactions as inputs that are processed through accounting software to generate the following reports:

- Day books /Journals • Ledger • Trial balance
- Trading account • Profit and loss account • Balance sheet, etc.

In accounting, computer is commonly used in the following areas:

a) Recording of business transactions b) Payroll accounting
c) Stores accounting and d) Generation of accounting reports

It is to be noted that the fundamentals of accounting do not change whether books of accounts are maintained manually or computerised. The same principles of debit and credit are equally applicable in a computerised environment.

14.2.1 Features of computerised accounting system

Computerised Accounting System (CAS) facilitates the management and other users to maintain accounts and prepare financial statements using computers. The reports generated through CAS are used to analyse financial status of a business and take necessary decisions to strengthen the financial soundness of the business. The CAS possesses the following features:

i) Simple and integrated: CAS is designed to automate and integrate all the business operations such as purchase, sales, finance, inventory and manufacturing. The CAS may be integrated with enhanced Management Information System (MIS), multi-lingual and data organisation capabilities to simplify all the business processes of the organisation easily and cost-effectively.

ii) Speed: It can perform functions at much higher speed than doing the same manually.

iii) Accuracy: Computers perform functions with high degree of accuracy. If hardware, software and input by people are proper, the computerised accounting system can assure of accurate outcome.

iv) Reliability: Computers are used to process large volumes of data and hence, data provided by it are reliable.

v) Versatility: Computer and accounting software have the ability to perform diverse tasks. For example, by simply recording accounting entries through accounting software, one can get trial balance, trading account, profit and loss account, balance sheet and diverse reports.

vi) Transparency: With computerised accounting, the organisation will have greater transparency of day-to-day business operations and access to the vital information.

vii) Scalability: CAS enables processing of any volume of data in tune with the change in the size of the business.

viii) On-line facility: CAS offers online facility to store and process transaction and data so as to retrieve information to generate and view financial reports in any part of the world.

ix) Security: In CAS, only the authorised users are permitted to have access to accounting data. Under manual accounting system, it is very difficult to secure such information as it is open to inspection by any person dealing with the books of accounts.

Accountancy Unit-14.indd 318 12/12/2021 6:23:37 PM